

Fed's Hammack Is Still Worried About Outlook for US Inflation



Fed's Hammack Is Concerned About Inflation Expectations

By [Craig Stirling](#) and [Jonnelle Marte](#)

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✦ Takeaways by Bloomberg AI



- Federal Reserve Bank of Cleveland President Beth Hammack said inflation that could stay above target until 2028 is a concern for her as she argues against interest-rate cuts.
- Hammack observed that the central bank has missed its 2% goal for more than 4 1/2 years, and is likely to keep doing so for some time, with pressure in inflation in the headline, core, and services.
- Hammack said she views the current stance of policy as “mildly restrictive,” and that she has “one of the higher estimates of neutral on the committee,” and would only want to go into an accommodative stance if she saw a more material weakening on the horizon.

Federal Reserve Bank of Cleveland President Beth Hammack said inflation that could stay above target until 2028 is a concern for her as she argues against interest-rate cuts.

Speaking in an interview with CNBC from Frankfurt, the policymaker observed that the central bank has missed its 2% goal for more than 4 1/2 years, and is likely to keep doing so for some time.

“I continue to see that we have pressure in inflation, both in the headline, in the core, and particularly where I’m worried about it is, I’m seeing it in services,” Hammack said. “My forecast is that we’re going to remain above target for probably the next one to two years, and not really getting back down to our objective of 2% until the end of 2027 or early 2028.”

While a number of Fed officials have acknowledged the impact of tariffs on prices has so far been muted, Hammack remains cautious and suggested that she doesn’t agree with colleagues who view the effect as a one-time thing.

“I continue to be worried about where we are from an inflation perspective,” she said. “I think we really need to maintain a restrictive stance for policy.”

Data released last week showed US personal spending rose in August by more than forecast and underlying inflation pressures held steady.

Fed officials lowered their target range for the benchmark federal funds rate by a quarter percentage point on Sept. 17, their first move since December despite intense pressure from the Trump administration to cut rates.

Hammack said that she views the current stance of policy as “mildly restrictive,” and that she has “one of the higher estimates of neutral on the committee.”

“To me we’re a short distance from getting to neutral,” she said. “I would only want to go into an accommodative stance if I saw a more material weakening on the horizon and I’m not seeing that.”

US policymakers will next gather Oct. 28-29. Investors in fed funds futures contracts see about a 90% chance of another quarter-point reduction.

Speaking during a panel later on Monday, Hammack said the price effects from tariffs had been more muted than expected, but that she anticipated more price increases as businesses worked through inventories and passed more tariff costs on to customers. Hammack also said a longer pass through period might increase the risk of the extra inflation persisting.

“If it’s transitory, and it’s transitory but it takes two years for the full impact to come through, is that transitory?” Hammack said at a conference jointly hosted by the European Central Bank and the Cleveland Fed. “How do you think about that, in terms of what that’s going to do to individuals, businesses, inflation expectations and their experience?”

Fed Independence

Questioned on Fed independence during the CNBC interview, Hammack said that much of the dialogue surrounding the central bank and what it should do at present is actually “pretty normal” given that previous governments have also commented on policy.

Even so, “having a governor who is on leave from an administration position hasn’t happened before, and having the president trying to unseat a governor hasn’t happened before,” she said.

Hammack was asked about the prospect of a government shutdown, with a deadline looming this week.

“I would expect that it would have some amount of drag on GDP the longer that a shutdown lasts,” she said. “We’ll need to watch have to see what those impacts look like long term, and how this one plays out.”

(Updates with Hammack comments from conference from 12th paragraph.)



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